

SAFE — SIMPLE AGREEMENT FOR FUTURE EQUITY

How your SAFE *converts*.

A plain-language explanation of what a SAFE is, what triggers conversion, how the math works, and exactly what you receive — with the current terms of the InPursuit bridge round.

INSTRUMENT	VALUATION CAP	DISCOUNT
SAFE	\$20M <i>post-money</i>	None
TOTAL RAISE	MINIMUM CHECK	EXECUTION
\$2,000,000	\$50,000	DocuSign

01 — WHAT A SAFE IS

Not a loan. Not equity yet. A *right* to future equity.

A SAFE is a contractual agreement that converts your investment into equity at a future financing — InPursuit's Series A. You are not lending the company money, and you do not receive shares today. You are securing the right to receive equity later, on terms fixed now.

IN ONE SENTENCE

You invest today at a **\$20M post-money valuation cap**. When the Series A closes, your SAFE automatically converts into preferred equity priced at that cap — regardless of how high the Series A is valued.

No interest. No maturity date. No repayment obligation. The SAFE simply waits for the conversion event.

02 — WHAT TRIGGERS CONVERSION

The Series A is the conversion event.

Your SAFE converts automatically upon the closing of a qualified **Equity Financing** — defined as a priced equity round raising at least \$1,000,000 in gross proceeds. InPursuit's Series A is targeted at **\$13M, closing in Q4 2026**.

When that round closes, conversion is automatic — it requires no action on your part. InPursuit will provide written notice of an anticipated financing at least fifteen business days before the first closing.

03 — HOW CONVERSION WORKS

Four steps, fully automatic.

- 1

Series A closes
A qualified equity financing of \$1M+ triggers the conversion. Target: \$13M, Q4 2026.
- 2

Conversion price is set at the cap
Your conversion price is the **\$20M post-money cap** divided by the company's capitalization — **not** the (higher) Series A price. There is no discount; the cap alone governs.
- 3

Your investment converts to preferred equity
Purchase Amount ÷ Conversion Price = the equity you receive, issued as SAFE Preferred — the same class and series as Series A investors.
- 4

You hold Series A preferred stock
Upon InPursuit's planned C-Corp conversion at the Series A, your preferred units become preferred stock, with the rights of that round.

THE CONVERSION MATH

Equity received =
$$\frac{\text{Your Investment}}{\$20\text{M Cap} \div \text{Company Capitalization}}$$

Because this is a post-money cap, your share of the company is known up front:
Your Investment ÷ \$20M = your ownership floor at conversion.

04 — WORKED EXAMPLE

What your check buys.

A post-money SAFE fixes your ownership percentage at the cap. The table shows the ownership floor each check size locks in — the minimum you hold at conversion if the Series A prices at or above the \$20M cap.

OWNERSHIP AT THE \$20M POST-MONEY CAP		
YOUR INVESTMENT	÷ CAP	OWNERSHIP FLOOR
\$50,000	\$20,000,000	0.25%
\$100,000	\$20,000,000	0.50%
\$250,000	\$20,000,000	1.25%
\$500,000	\$20,000,000	2.50%
Illustrative. Final ownership is computed at conversion against the company's then-current capitalization, inclusive of the option pool and other convertibles. If the Series A prices below the cap, you convert at the lower round price and receive more. Figures are not a projection of value or return.		

05 — WHY THE CAP MATTERS

You enter early. You're priced early.

IF SERIES A PRICES AT THE CAP

You convert at \$20M

Your SAFE converts at the same price as the new round. Your ownership floor holds exactly as shown above.

IF SERIES A PRICES ABOVE THE CAP

You still convert at \$20M

New investors pay the higher Series A price; you keep the \$20M cap. That spread is the early-investor advantage the SAFE is built to capture.

06 — KEY TERMS

What else the SAFE carries.

- ✓

No debt, no interest, no maturity. The SAFE is not a loan and carries no repayment obligation. It waits for the conversion event.
- ✓

No discount — cap only. Conversion is governed solely by the \$20M post-money cap. There is no separate discount rate.
- ✓

Pro rata rights at \$100K+. Investors of \$100,000 or more receive the right to participate in the Series A to maintain their ownership percentage.
- ✓

MFN protection. If InPursuit later issues a SAFE or convertible instrument on more favorable terms, you may elect to adopt those terms.
- ✓

Executed entirely via DocuSign. Subscription Agreement, SAFE Agreement, and Accredited Investor Questionnaire — no separate cap-table software required.

07 — TAX TREATMENT

Two provisions, activating at *C-Corp conversion*.

A SAFE is a contractual right to future equity — not current ownership — so it generates no K-1 or pass-through reporting while outstanding. The provisions below may apply once the SAFE converts to stock and InPursuit completes its planned C-Corp conversion at the Series A.

IRC §1202 — QSBS

Capital-gains exclusion

On conversion to qualifying C-Corp stock held five-plus years, gains may be eligible for exclusion of up to 100% (capped at the greater of \$10M or 10× basis), subject to the statute's requirements.

UPON C-CORP CONVERSION

IRC §1244 — Ordinary Loss

Downside protection

If the investment results in a loss, §1244 may allow up to \$50,000 (\$100,000 for joint filers) to be deducted as an ordinary loss rather than a capital loss.

UPON C-CORP CONVERSION

Not tax advice. Eligibility for §1202 and §1244 depends on the company's final tax election and structure at conversion, holding periods, and your individual circumstances. InPursuit Health, LLC's entity tax status is being confirmed with counsel. Consult your own tax advisor before relying on any treatment described here.